

Stakeholders in action

Compared with other stakeholders, shareholders have the most interest in the financial performance of a company. They are also forced to take an interest in how seriously the company takes its corporate

social responsibility (CSR), whether or not they are socially and environmentally conscious themselves. Several high-profile cases have shown how stakeholder reaction has caused a significant decline in share prices. By using

social media, stakeholders can generate a storm of public disapproval, leading to angry consumers and nervous investors.

How stakeholders affect share value

In April 2010, an offshore oil rig owned by British Petroleum (BP) exploded in the Gulf of Mexico. BP attempted to alleviate stakeholder concerns, but stakeholders responded negatively, starting their own social media campaigns to shame the company. Sixty-six days after the oil spill, BP's share value on the New York Stock Exchange had dropped by 52 percent.

